TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News
1 Nov 2026

No promise of net savings in December's budget update

> Finance Minister Katy Gallagher would not commit to overall savings in the Mid-Year Economic and Fiscal Outlook, citing rising costs in health, aged care and veterans' services.

WHAT HAPPENED

- **MYEFO** is due in December. Gallagher said she would not pre-empt decisions of the Expenditure Review Committee.
- **Pressures:** rising demand in health, aged care and veterans' claims, and strain on Medicare.
- **Interest costs:** Treasurer Jim Chalmers has warned that higher borrowing costs will add billions to the budget.
- **Opposition:** Angus Taylor says spending restraint would ease the pressure on the RBA to raise rates.

BY THE NUMBERS

Dec
MYEFO release

4.3%
Headline CPI, year to Sep

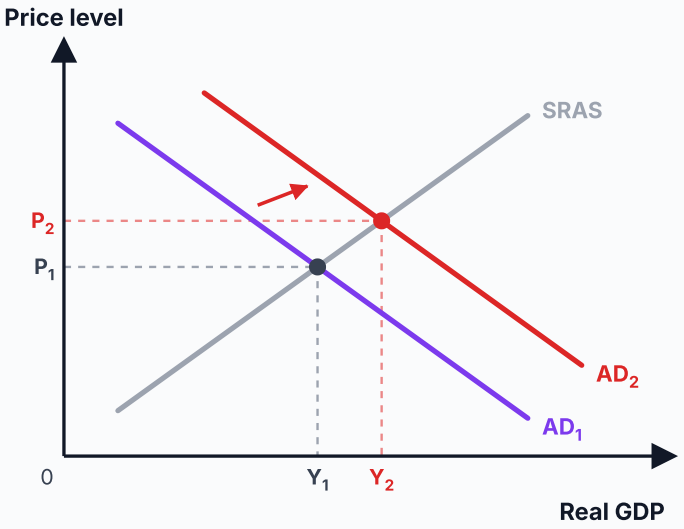
26.8%
Govt spending as % of GDP (ABC)

~1%
Deficit as % of GDP (ABC)

KEY TERMS

MYEFO: Mid-Year Economic and Fiscal Outlook: the December update of the May budget.
Structural balance: The budget balance after removing the effects of the economic cycle.
Cyclical component: Budget changes caused by the business cycle.

DIAGRAM — Why the RBA watches the budget



If new spending is not offset by savings, government spending adds to demand, shifting **AD_1 to AD_2**. With the economy near capacity, the price level rises from P_1 to P_2, so monetary policy may need to stay tighter.

Diagram is illustrative, not to scale.

Exam angle: Use the **structural vs cyclical** distinction: rising health and aged care costs are **structural** pressures, not cyclical ones.

FLOW CHART — The chain of cause and effect

Spending pressures grow → No net savings in MYEFO → Fiscal stance stays supportive → **RBA carries more of the load**

SYLLABUS LINK

Topic 4 – fiscal policy: budget outcomes, MYEFO and structural pressures on the budget.

TRY THIS

Explain what MYEFO is and how the fiscal stance it reveals could influence monetary policy decisions. **(4 marks)**

Sources: ABC News – Government will not promise net savings in budget update, 1 Nov 2026 – https://abc.net.au/news/2026-11-01/katy-gallagher-wont-promise-myefo-net-savings/107333248 · ABC News – Interest rate hikes gather pace across the globe, 3 Nov 2026 – https://abc.net.au/news/2026-11-03/rate-hikes-gather-pace-across-the-globe-as-deficits/107336008

Summarised and paraphrased from the sources listed